

UNDERSTANDING CARBON OFFSETTING



Join **Selectra** in the fight against global climate change! Everything you need to know about carbon offsetting.

WHY OFFSET YOUR EMISSIONS?

Greenhouse gas (GHG) emissions caused by human activities are the main source cause of global warming today. Each of us must act to reduce our own emissions. For example, we can take the train instead of the car or plane, choose a more local and less meaty diet, or reduce our energy consumption at home.

However, some emissions remain unavoidable. Carbon offsetting is a complementary way of committing to helping the preservation of the environment, by financing sustainable projects that avoid, reduce or contain or sequester GHG emissions.

THE COMPLIANCE MARKET VS. THE VOLUNTARY MARKET

Several carbon markets coexist:

-  **The compliance market:** some actors, particularly the most polluting companies, are subject to capped GHG emission quotas, and can ultimately trade quotas on the market.
-  **The voluntary market:** companies, individuals and local authorities freely commit to the carbon offset system without regulatory constraints. Selectra offers its services on this market.

HOW DOES CARBON OFFSETTING WORK?

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1 A project leader has an idea for an activity that will avoid, reduce or contain sequester GHG emissions. However, in order for the project to come to fruition, it needs financing. The project leader then chooses to monetise the positive effects of his or her activity, via the creation of carbon credits that could be sold on the voluntary offset market (1 carbon credit = 1 tonne of CO₂ equivalent produced by the project). This anticipated income makes the project feasible, which is then launched.
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2 The project owner asks a certification body (VCS - Verified Carbon Standard, Gold Standard, or CDM - Clean Development Mechanism) to audit its project to guarantee that it avoids, reduces or contains sequesters GHG emissions, and to quantify the number of carbon credits that can be generated thanks to its positive impact.
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3 Once the project is actually built, the project owner can sell the carbon credits to specialised companies. The project owner thus benefits from **additional income** that allows the project to exist!



- Each year, **Selectra** buys carbon credits from its partners and cancels them according to the volumes offset by its customers. To guarantee the final use of the carbon credits, Selectra receives an offset certificate from its partners, which is then forwarded to each customer by email.

HOW CAN I GUARANTEE THAT MY FINANCIAL CONTRIBUTION REALLY HELPS TO AVOID GHG EMISSIONS?

It is the labelling of the project by a certifying body that guarantees the existence of a positive environmental impact and measures its extent. The label is only granted to the project if the compensation associated with it is:

- **Additional:** the project would not have been implemented without the sale of carbon credits.
- **Permanent:** the GHG emissions will be avoided, reduced or contained sequestered over the long term.
- **Measurable :** the project supported has a reliable and internationally recognised protocol.
- **Verified:** a third party regularly audits the project and verifies compliance with the label criteria.
- **Unique:** carbon credits can only be sold once. They are associated with a unique number and listed in a register.

The reliability and independence of the certifying bodies are at the heart of the guarantee provided. Selectra's project labels are supported by leading international, not-for-profit players:

- **The Gold Standard** was created by the environmental association WWF and its partners.
- **The CDM (Clean Development Mechanism)** was created by the United Nations.
- **VCS (Verified Carbon Standards)** was created by the NGOs Climate Group and International Emissions Trading Association (IETA), the World Economic Forum and the World Business Council for Sustainable Development (WBCSD).



WHAT PROJECTS ARE SUPPORTED?

Carbon credits are generated from a wide variety of GHG avoidance, reduction or containment sequestration projects selected by Selectra and its partners.

For example, between 2019 and 2021, **Selectra** offset its customers emissions through the "**Gandhi Project**". With more than 250,000 carbon credits acquired over these three years, Selectra was able to contribute to the development of a wind farm in India, a country where 56% of energy demand is covered by coal. This project was certified by the Verified Carbon Standard (VCS).

Thanks to the 21 wind turbines installed, almost **35 GWh** of green electricity is produced each year, thus avoiding the emission of more than **30,000 tCO₂e** per year. The project has also had a direct positive impact on the local population:

- **80 schools** have been created or supported through a system of scholarships, contributing in particular to an increase in the school enrolment rate: +50% in Tidi in the district of Udaipur in Rajasthan (North-West India);
- **800+ people** benefited from new food aid, as well as a more stable and accessible electricity network.

So, thank you very much for your help!

Can I change my CO₂e offset volume?

Yes, at any time, by emailing compensationcarbone@selectra.info

Can I cancel easily?

Yes, you can cancel your contract at any time and free of charge by emailing compensationcarbone@selectra.info

Any questions? Need to contact us?

Send us an email at compensationcarbone@selectra.info